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From the editor-in-chief

A country's currency is one of its cornerstones. Its value against other currencies reflects the strength of its economy and is also a matter of national pride. What it buys is of great importance to its citizens. Consequently, its effective management is a great concern for any government. Today this pillar of our country is under attack from an insidious and invisible enemy. A proliferation of fake currency over the last three years has grown to dangerous proportions. According to the National Crime Records Bureau, 2,204 cases of counterfeiting were reported in 2007. Small states like Sikkim, Uttarakhand and Himachal Pradesh witnessed an average increase of 185 per cent in counterfeiting cases between 2006 and 2007. There have been seizures of fake Indian currency in Colombo, Bangkok and Nepal. There are reports of fake currency notes now being dispensed by banks and ATM machines.

As India grapples with a financial downturn, the spread of counterfeit notes leads to greater uncertainty, undermining a country's confidence in its financial system and the strength of its currency. Counterfeit currency has always been used to fund criminal activity, be it drugs or arms smuggling. Today it is being used by India's enemies, namely by Pakistan's ISI, to carry out what can only be called economic terrorism against our country.

Indian intelligence agencies have traced the routes used by counterfeiters, all of which lead back to Pakistan. The money is printed across the border, stocked in Dubai and then shipped out to our neighbours, from where it is moved into the Indian market through our porous borders. These fake notes spread through the economy and are also used to fund the operations of terrorist groups. Today it is estimated that eight or nine notes of every thousand in circulation in India are counterfeit.

Our cover story on fake currency was put together by Senior Editor Malini Bhupta along with our correspondents from all across the country who spoke to officials at the Reserve Bank, private and public sector banks as well as intelligence sources. Bhupta found that the impact of the fake currency racket was being felt at all levels. Staff at a bank told her that they get about a dozen dud notes in a day. The owners of very small shops were investing in currency detection machines, tired of having their earnings destroyed by banks because the notes had turned out to be counterfeit. Our story tells you how to recognise a fake note from a real one and what to do if you happen to be given a counterfeit currency note.

Everyone in the Government understands just where this problem can lead. In the course of our investigation, we found that just like in our response to conventional terror, there was no co-ordination between various agencies involved in this case. It is an appalling state of affairs.

Our economy, the foundation of India's strength and confidence, is under attack and this situation requires an intelligent and swift response. The currency notes may be fake but their consequences are very real.



Aroon Purie
(Aroon Purie)